Property income

Content

4. Property and investment income

a) Compute property business profits.

b) Understand rent-a-room relief.

c) Compute the amount assessable when a premium is received for the grant of a short lease.

d) Understand and apply the restriction on property income finance costs.

e) Understand how relief for a property business loss is given.

1. Overview

- General letting
  - General rule
  - Rent a room relief
- Furnished holiday letting

1. Overview

Accommodation counts as FHL if: (3 conditions + 1 location)

1. Availability condition

It is available for commercial letting to the public for not less than 210 days each tax year, and

2. Letting condition: It is actually let for at least 105 days in each tax year, and

3. Letting pattern condition

Tenants should not stay for a period of more than 31 days. However, the property can be let to the same tenant for periods longer than this provided these long lets do not take up more than 155 days per tax year.

4. UK location:For TX exam purpose, it will be located in the UK.

2. Proforma

2.1 Cash basis

Individual generally uses the cash basis for income assessment.

2.2 Accruals basis

If property income receipts ＞ £150,000, an individual or partnership must use accruals basis.

Limited companies must use the accruals basis.

	£
Rental income	X
Premium assessed	X
Deposit	X
Less allowable deductions	(X)
Property income profit/(loss)	C/(C)

3. Income from property

3.1 Rental income

Rental income is the main source of property business income paid by the tenant to the landlord.

Cash basis: rent received of the tax year

Accruals basis: rent receivable of the tax year

3. Income from property

Lecture illustration

Kai let out a house at a rent of £1,000 monthly payable from 6 April 2025 to 5 April 2026. The tenant paid only 9 months' rent out of the 12 months rental income due on 5 April 2025 and left the property. The remaining 3 months rental income is irrecoverable.

What's the rental income under different basis ?

3. Income from property

Cash basis	£
Rental income received (9 months) 1,000×9	9,000

Accruals basis	£
Rental income receivable (12 months) 1,000×12	12,000

3. Income from property

3.2 Premium

A Premiums may be received on short Term Leases (≤50 years)

A premium is a lump sum payment made by the tenant to the landlord on the initial granting a lease.

I. Landlord

Taxable / assessed premium = P - 2% × (n-1) × P or P×(51-n)/50

(P = Premium received, n = lease years)

3. Income from property

II. Tenant: trading expenses

Amount deductible **each year**

$$= \frac{\text{Taxable / assessed premium on landlord}}{\text{Life of lease}}$$

Lecture example 1

Lara grants a 15 year lease on a shop to Gray on 30 September 2025 with annual rent of £4,800. Besides, Gray paid a premium of £35,000 on that day.

(a)Calculate the Lara's property income assessment for 2025-26.

(b)Calculate the Gray's allowable deduction for the premium paid in the year end 5 April 2026.

3. Income from property

3.3 Deposit

- Landlord receives deposit and return it back to tenant, then the deposit is not treated as taxable income
- Landlord receives deposit which is used to cover the unpaid rent, cleaning cost or damage by the tenant, then the deposit is treated as taxable income

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4. Expenses on property

4.1 Revenue expenditure is deductible:

E.g. Repairs to the property, Redecoration, Agent's fees, Insurance, Advertisement, Council tax, Running cost, Electricity, Gas, Water rate.

Capital expenditure is not deductible:

E.g. mortgage capital repayments, construction of an extension or boundary wall, improvement cost.

4. Expenses on property

Lecture illustration

Green let out a house at a rent of £1,000 monthly payable from 6 June 2025. Green paid an insurance premium of £600 on 6 June 2025 for the 12-month period to 5 June 2026.

What amount of insurance premium is deductible when calculating Green's property business income for the tax year 2025-26 under different basis?

4. Expenses on property

Cash basis:	£
Insurance premium paid on 6 June 2025	(600)
Accruals basis:	£
Insurance premium payable (6 June to 5 April) 600 ×10/12	(500)

4. Expenses on property

4.2 Bad debt

If a tenant leaves without paying outstanding rent,

- The outstanding amount is never taxed as rent is only taxable on the cash basis in the tax year.
- The irrecoverable rent will be treated as a bad debt expense (impairment loss) under accrual basis

Lecture example 2

Lin bought a house in Birmingham on 6 June 2025 and on that day he decided to rent out the house at a monthly payable of £2,100 for one year. The tenant paid only 9 months out of the 12 months of the rent and left without giving notice. The remaining 3-months' rent is irrecoverable. Lin paid an insurance premium of £840 on 1 September 2025 for the 12-month period to 1 September 2026. He also paid £330 other expense on 6 June 2025 which is deductible.

Compute Lin's property business income for the tax year 2025-26 under cash basis and accruals basis.

4. Expenses on property

4.3 Finance cost

Finance cost may incur on the loan to purchase or repair the property (such as repayment mortgage interest).

Tax relief is as follow:

- Finance costs on the loan for residential property or furnished holiday letting:

Finance costs×20% → deducted from income tax liability

- Finance costs on the loan for non-residential property (office, factory, shop, warehouse)

Finance costs → deducted from property income

Lecture example 3

On 6 April 2025, Fang purchased a freehold house. The property was then let throughout the tax year 2025-26 at a monthly rent of £1,000.

Fang partly financed the purchase of the property with a repayment mortgage, paying mortgage interest of £4,000 during the tax year 2025-26.

The other expenditure on the property for the tax year 2025-26 amounted to £1,230, and this is all allowable.

For the tax year 2025-26 , Fang has a salary of £80,000.

Calculate Fang's income tax liability for 2025-26.

4. Expenses on property

4.4 Mileage allowance

租赁行为产生的 Motor expense 有两种处理方式，纳税人自由选择其一：

① 按照实际发生的费用直接扣除。

② 使用 mileage allowances 方式，用租赁相关的里程数，计算可以扣除的费用。

up to 10,000 miles	45 p/mile
over 10,000 miles	25 p/mile

4. Expenses on property

4.5 Replacement domestic items relief

Domestic items:

Movable furniture, E.g.: beds, sofa

Furnishings, E.g.: curtains, carpets, floor coverings

Household appliances, E.g.: televisions, kitchenware

Initial cost of purchasing domestic items is capital expenditure and non-deductible.

4. Expenses on property

When a domestic item is replaced, taxpayer could get replacement domestic items relief

- New asset is same as old one:

  Replacement domestic items relief

  = Cost of new asset bought － proceeds from sale of old asset

- New asset is not the same, has some improvement:

  Replacement domestic items relief

  = MV of new asset which is same as old one － proceeds from sale of old asset

Lecture example 4

Ursula owns a flat which was let to a tenant throughout tax year 2025-26 .

Rents received during the year were £10,500. Expenditure during the year was as follows:

	£
Insurance for the year to 30 June 2026	380
Repairs and maintenance	1,150
Replacement of sofa	729

The new sofa is superior to the sofa it replaced. The old one is sold for £99.

It would have cost only £399 to have bought a new sofa which was equivalent in quality to the old one.

Compute property income for 2025-26 .

4. Expenses on property

4.6 Property business loss

- Property business loss must be offset against any profits that arise from property business in current year as much as possible.
- And then the remaining loss should be deducted from property income in future years as soon as possible and as much as possible.

Lecture example 5

Bob owns two properties that he let out furnished. In the year ended 5 April 2026 he has property income £22,400 from property No.1 and suffered loss £10,400 from property No.2.

He also has property losses brought forward of £50,000 from previous years.

How much property losses could be carried forward to 2026-27?

5. Rent a room relief

If a taxpayer lets part of his/her main residence, up to £7,500 of the gross rent is exempt from income tax. This is called rent-a-room relief.

Gross Rent ≤ £7,500
- Exempt： PBI=0
- Normal calculation: PBI=rent –expenses

Gross Rent > £7,500
- Normal calculation: PBI=rent –expenses
- Alternative basis: PBI=rent –£7,500

Lecture example 6

During tax year 2025-26, Susan rented out one furnished room of her main residence. During this year she received rent of £9,020. She paid the following expenses for the room rented:

Maintenance	£100
Water rate	£70
Electricity	£200
Cleaning cost	£80

Calculate Susan's property income during 2025-26 if Susan chooses most beneficial way.

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Quizzes(self-practice)

Quiz 1

Miss Abebe granted a 30 year lease to Mr Holmes on 1 September 2025, for a premium of £30,000. Miss Abebe has elected to use the accruals basis.

What is the amount of income assessable on Miss Abebe as property income in the tax year 2025-26?

A.£17,400
B.£420
C.£1,000
D.£12,600

Quiz 1-A

The correct answer is **D**.

Premium	30,000
Less: 2% × £30,000 × (30 – 1)	(17,400)
Property income	12,600

Quiz 2

Ben rents out a furnished room in his main home at an annual rent of £7,900. His expenses for the room are £300.

What is Ben's assessable property income in the tax year 2025-26, assuming he makes any beneficial claims?

A.£7,600
B.£7,500
C.£400
D.£100

Quiz 2-A

The correct answer is **C**.

Rent received	7,900
Less: rent a room relief	(7,500)
Property income	400

Quiz 3

Domenic purchased a residential property to let out on 30 June 2025. The property was let for the first time on 1 September 2025 with the rent of £9,000 per annum being paid quarterly in advance. Interest and related finance costs on a loan for the property amounted to £2,000 during the tax year 2025-26.

Domenic incurred the following expenses related to the property:		£
July 2025	Insurance for 1 July 2025 to 30 June 2026	900
August 2025	New furniture	3,000

Quiz 3

What is Domenic's property income assessable in the tax year 2025-26?

A.£8,100
B.£3,850
C.£5,850
D.£2,850

Quiz 3-A

The correct answer is **C**.

Property income (Note 1)		6,750
Less: expenses		
Loan interest (Note 2)	0	
Insurance (Note 3)	900	
Furniture (Note 4)	0	(900)
Property income		5,850

Quiz 3-A

Notes:
Quarterly rent of £2,250 would be paid on 1 September 2025, 1 December 2025, 1 March 2026 and 1 June 2026. As there is no mention otherwise, the cash basis should be used for property income. Therefore, Domenic will have received three quarterly payments, being £6,750.
Loan interest is restricted under the finance cost restriction, and tax relief at basic rate is given in the tax computation.
Under the cash basis the amount of insurance paid in the tax year is deductible.
The original cost of furniture is not allowable, however replacement furniture in future will be, as long as there is no element of improvement over the original.

Quiz 4

Alicia owns three properties in the UK which are let out and qualify as furnished holiday accommodation.
Alicia's assessable income and allowable expenses for the three properties for the tax year 2025-26 were:

Property	1	2	3
	£	£	£
Income	2,400	1,800	2,600
Expenses	2,900	1,150	2,000

Quiz 4

Alicia has brought forward losses of £700 from furnished holidays lettings from the tax year 2024-25.

What is Alicia's assessable property income for the tax year 2025-26?

A.£50
B.£700
C.£750
D.£Nil

Quiz 4-A

The correct answer is **A**.

Property	1	2	3	Total
	£	£	£	£
Income	2,400	1,800	2,600	6,800
Less: Expenses	(2,900)	(1,150)	(2,000)	(6,050)
Profit/(loss)	(500)	650	600	750
Less: loss brought forward				(700)
Property income (earned income)				50



谢谢观看

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